

Case Number: NAIH-743-3/2023.

Background: NAIH-5868/2022.

Subject: Decision granting the application

DECISION

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) has initiated an official procedure regarding the unauthorized transfer of data at the request of [...] applicant (hereinafter: Applicant) against [...] Law Firm (hereinafter: Lawyer) representing [...] Ltd. (hereinafter: Respondent 1) and [...] Ltd. (hereinafter: Respondent 2) (hereinafter collectively: Respondents), in which the Authority makes the following decisions:

I. 1. The Authority grants the Applicant's request

and

I.2. establishes that the transfer of the Applicant's personal data between the Respondents, as well as to [...] (hereinafter: Bank), constitutes a violation by the Respondents of the protection of natural persons in relation to the processing of personal data and the free movement of such data, as well as the repeal of Directive 95/46/EC, as set out in Article 6(1) of Regulation (EU) 2016/679 (hereinafter: GDPR or General Data Protection Regulation).

I.3. The Authority ex officio establishes that Respondent 2 has violated Article 28(3) of the GDPR, and instructs Respondent 2 to align its data processing agreement with its credit intermediaries with the provisions of the GDPR within 30 days following the expiration of the deadline for initiating administrative litigation or, in the case of initiating administrative litigation, following the termination of the administrative litigation.

Respondent 2 must provide written evidence to the Authority of the measures prescribed in point I.3 within 8 days from the date of taking those measures, along with supporting evidence.

There is no administrative remedy against this decision, but it can be challenged in administrative litigation by a statement of claim addressed to the Metropolitan Court within 30 days from the notification. The statement of claim must be submitted electronically to the Authority, which will forward it to the court along with the case documents. A request for a hearing must be indicated in the statement of claim. For those not fully exempt from personal fees, the administrative litigation fee is HUF 30,000, and the case is subject to the fee recording right. Legal representation is mandatory in proceedings before the Metropolitan Court.

REASONING

I. Procedure progress

1 The form NAIH_KO1 serves for initiating administrative litigation: NAIH KO1 form (2019.09.16). The form can be filled out using the general form-filling program (ÁNYK program).

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(1) The Applicant initiated a data protection authority procedure on June 15, 2022, under Section 60 (1) of Act CXII of 2011 on the Right to Informational Self-Determination and Freedom of Information (hereinafter: Infotv.), citing unlawful data processing by the Respondents.

(2) The Authority notified the Respondents in its order about the initiation of the procedure and called upon them for the first time to make a statement in order to clarify the facts, referring to Section 62 (1) of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.).

(3) In response to the Authority's call, the Respondents submitted their responses within the deadline and attached copies of documents supporting their claims.

(4) The Authority informed the Respondents and the Applicant in its orders that the evidentiary procedure had been completed and that they could exercise their right to make statements, as well as

their right to access documents.

(5) In response to the Authority's order, the Applicant exercised their right to access documents, while the Respondents did not exercise their right to access documents. Neither the Applicant nor the Respondents made a statement regarding the completed evidentiary procedure.

II. Clarification of Facts

II.1. The Applicant's Statement (NAIH-5868-1/2022.)

(6) The Respondents unlawfully forwarded correspondence containing private secrets (personal data) to the Bank without the Applicant's consent, causing damage.

(7) Through Respondent 1, the Applicant intended to purchase a [...] family house with the assistance of a designated sales representative. To this end, based on the recommendation of the real estate agent, the Applicant sought to obtain a loan through the Bank, where their personal representative was [...]. The Applicant accepted the Bank's offer, and thus the Applicant's loan application was initiated with them.

(8) On May 25, 2021, the Applicant sent a letter from the [...] email address to the [...] email address, which belongs to the wife of the son of the owner of the property to be purchased. In this letter, the Applicant indicated that they would like to withdraw from the purchase of the house, inquiring about the conditions for doing so. According to the Applicant, this email was forwarded to the Bank without their consent.

(9) The purchase failed because the Bank did not provide a loan despite its binding offer, resulting in damage to the Applicant, for which they submitted a compensation claim to the Bank. According to the information provided by the Bank to the Applicant, it does not consider the Applicant's compensation claim to be justified, as it has evidence that the Applicant intended to withdraw from the transaction. Upon the Applicant's repeated requests, the Bank forwarded the Applicant's letter, in which they inquired about the conditions for withdrawal mentioned above, and which, according to the Applicant, was forwarded to the Bank without legal basis. The correspondence sent by the Bank shows that the original recipient forwarded the letter to [...] who then forwarded it to their boss ([...]), who subsequently sent it to [...] who forwarded it to the Bank.

(10) In connection with the above, the Applicant requested information from [...] and also sent a letter to [...] asking for an investigation into the case and for an explanation. In response to this letter, the authorized legal representative sent a reply letter.

(11) The Applicant requested the Authority to determine that the Respondents committed a violation by unlawfully forwarding the email containing private secrets (personal data).

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(12) The Applicant attached copies of the correspondence referred to in their application.

(13) In the email sent by the Applicant to [...] on May 25, 2021 (hereinafter: Letter), they list the reasons for their dissatisfaction regarding the property and then state the following:

(14) “[...] With reference to the above, we would like to withdraw our intention to purchase and to close this transaction with the least loss for both parties as soon as possible, so that you can continue to sell the house, and we can look for another property. [...]”

(15) According to the attached correspondence, the Letter was forwarded by [...] to the [...] address on the same day, and then the forwarded Letter was sent to the [...] address the following day.

II.2. The Respondents' Statement (NAIH-5868-4/2022.)

II.2.1. Property Viewing [...] with Real Estate Agent and Purchase Offer

(16) Respondent 1 entered into a mandate agreement on October 30, 2020, regarding the sale of the property located at [...] (hereinafter: Property). The Applicant viewed the Property with [...], who was engaged in activities for the Respondents under a mandate agreement during the examined period.

Respondent 1 provided real estate brokerage services, while Respondent 2 performed administrative work for [...].

(17) During the viewing of the Property, the Applicant indicated to [...] that they wished to purchase the Property and intended to take out a loan for the purchase. [...] informed the Applicant that Respondent 2 could assist with the loan processing. The Applicant requested that Respondent 2 be contacted regarding this matter. In this regard, the Applicant gave consent on the "viewing declaration" for their personal data to be forwarded to Respondent 2 by Respondent 1. The referenced viewing declaration was forwarded in copy by the Respondents to the Authority. The Applicant made a purchase offer regarding the Property on April 11, 2021, with the assistance of Respondent 1.

II.2.2. Loan Processing and Purchase Offer

(18) The Applicant, with the assistance of [...] (an employee of Respondent 2 engaged in loan brokerage), requested and received bank offers for taking out a loan, among which the Applicant accepted the offer provided by the Bank. Contrary to the statements made by the Applicant, the loan application was not submitted to the Bank; rather, the Applicant utilized loan brokerage services based on the contract concluded with Respondent 2, which means that

- (19) a) the Applicant received various competing bank loan offers from Respondent 2,
- b) the Applicant chose the Bank's offer from the proposals presented by Respondent 2,
- c) after selecting the bank, the Applicant provided all necessary documents for the loan application (e.g., copies of documents, employer's certificate, bank statements, purchase agreement, land registry application, deposit certificate, etc.) to Respondent 2,
- d) the Applicant filled out the Bank's loan application form with the assistance of Respondent 2,
- e) Respondent 2 submitted the Applicant's loan application to the Bank, including the loan application form and related documents,
- f) Respondent 2 maintained contact with the Bank during the loan evaluation process.

(20) Respondent 2 submitted a copy of the mandate agreement concluded with the Bank.

(21) Respondent 2 is subject to the Act CCXXXVII of 2013 on Credit Institutions and Financial Enterprises (hereinafter: Hpt.), as a money market multiple agent.

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agent, of which the Applicant was informed.

(22) Respondent 2 submitted the "Offer" (hereinafter: Offer), a 12-page document signed by the Applicant on April 13, 2020, and referred to it as evidence that the Applicant was informed that Respondent 2 is subject to the provisions of the Hpt. and acts as an agent of the Bank. On page 7 of the Offer, the Applicant received detailed information regarding the fact that the representative acting on behalf of Respondent 2 "collects data and contractual offers for the purpose of future contracts (current account, loan, other financial products) related to the Client's financial services." Furthermore, upon the Client's request, the Broker acts at the selected financial institution or service provider to facilitate the establishment of a contract between the selected financial service provider and the Client.

(23) The Applicant consented on page 9 of the Offer for Respondent 2 to process the personal data recorded during the loan application.

(24) The Applicant filled out the Bank's loan application forms with the assistance of [...] in order for the Bank to evaluate the application. The loan application form was submitted to the Bank along with income verification documents and a purchase agreement for the Property by [...].

II.2.3. Correspondence Regarding Withdrawal

(25) The Applicant decided that they did not wish to purchase the Property. This was addressed in the Letter.

(26) Since [...] had a contractual relationship with Respondent 1, they received and processed the data contained in the Letter in relation to this. The Letter was forwarded by [...] to an employee of

Respondent 1, who is in a contractual relationship with them, since based on the content of the Letter, the buyer mediated by Respondent 1 withdrew from the purchase agreement.

(27) [...] also sent the Letter to their manager, [...] since it is within managerial competence to make a decision regarding the reduction of the real estate brokerage commission by Respondent 1 in such a case when the buyer they mediated has reconsidered. Respondent 1's goal was to facilitate an agreement between the Applicant and the seller ([...]), and they assisted in this negotiation process between the parties. [...] forwarded the Letter to [...] who submitted the Applicant's loan application to the Bank on behalf of Respondent 2 based on the Applicant's authorization. Respondent 2 informed the Applicant in the Offer that they collect and forward data to the Bank throughout the entire loan application process, thus when Respondent 2 received the Letter, they recognized that the Letter was also related to the loan application.

(28) When the employee of Respondent 2, [...] received it, they did not send the Letter to the Bank.

(29) The Bank, during its loan evaluation activities, concluded that it could provide the Applicant with a slightly lower amount than requested based on the income verification submitted and later modified by the Applicant, but by that time, the Applicant had already withdrawn their intention to purchase.

(30) Following the Applicant's complaint, the Bank contacted [...] regarding the investigation of the complaint with the aim of hearing them as a loan broker about the factual circumstances and what information they were aware of. [...] verbally informed the Bank's officer that Respondent 2 had obtained information (Letter) that proves that the Applicant had already withdrawn from the real estate purchase agreement before the Bank made/communicated its loan evaluation decision regarding the reduced loan amount to the Applicant. The bank officer noted that

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The Respondent 2 was instructed to forward the Letter to the Bank in its unchanged form, considering the existing contract between them, as the Bank has a legitimate interest in being informed if the Applicant intends to obtain compensation through false factual claims. On behalf of Respondent 2, [...] sent the request to the Bank, to which Respondent 2 subsequently forwarded the Letter to the Bank.

(31) The forwarding of the Letter was both an opportunity and an obligation for Respondent 2 for several reasons:

- on one hand, the Applicant had previously consented to Respondent 2 transmitting data to the Bank in connection with the loan application,
- on the other hand, the contract between the Bank and Respondent 2 stipulates that Respondent 2 has an obligation to inform the Bank regarding the loan application of the client mediated by Respondent 2.

(32) Respondent 2 also referred to the fact that the Applicant guarantees the accuracy of the data contained in the loan application form by filling it out and signing it, and that it was also the Applicant's obligation to inform the Bank of any changes in the data, including the intention to withdraw from the sale and thus from the submitted loan application. However, the Applicant did not fulfill this obligation. The Letter contained only the Applicant's email address and name as personal data, which the Applicant had previously authorized to be transmitted in the viewing declaration. These data were already in the possession of both the Respondents and the Bank, partly due to the Applicant's consent, partly due to the fulfillment of the mandate contract, and partly due to the statutory obligation of the Respondents. Furthermore, the Letter cannot be considered a private letter.

(33) The Applicant's claim that they had to withdraw from the sale (and thus lose part of their deposit) because the Bank approved a smaller loan amount than requested is false, as the Applicant had already indicated their intention to withdraw before they became aware that the Bank was willing to provide a lower loan amount than requested. The Applicant attempted to claim compensation from the Bank based on this assertion, and the Bank was able to prove with the Letter that the Applicant's claim was false.

II.2.4. Respondents as Data Controllers

(34) The Respondents are independent data controllers, and there was and is a so-called "referral" agreement between them, according to which if Respondent 1's client (hereinafter: Client) indicates that they wish to take out a bank loan for property purchase, Respondent 1 will forward the Client's name and contact information to Respondent 2. The Client grants this authorization to Respondent 1 through a so-called viewing declaration. Subsequently, during the loan processing, Respondent 2 acts, collecting the necessary data for the loan application from the Client. During the loan processing, communication with the Bank is conducted exclusively by Respondent 2. Only Respondent 2 engages in loan brokerage activities, while Respondent 1 conducts real estate brokerage activities. Information related to data processing concerning the loan application, as well as responses to related requests from data subjects, are solely the responsibility of Respondent 2. Respondent 1 does not participate in this activity.

II.2.5. Data Processor

(35) [...], qualifies as a loan processing data processor. Respondent 1 sent a copy of the data processing agreement concluded with the loan broker to the Authority, which stipulates that the data processor cannot make substantive decisions regarding data processing and may only process personal data that comes to its knowledge according to the instructions of the data controller. The data processing agreement also states that if the loan broker, as the agent, makes substantive decisions, it will assume the role of data controller.

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(36) The credit intermediary performs the following tasks according to the data processing agreement:

- preparation of credit calculations,
- collection of data and documents necessary for the credit application,
- submission of the client's credit application to the selected bank,
- communication with banks regarding credit applications,
- communication with clients during the credit application process.

(37) According to the data processing agreement, the scope and format of the transferred data are:

- data and documents required for the submission of the credit application,
- in the format in which they are provided by the clients (e-mail, Word, etc.).

(38) The Applicant 2 forwarded a copy of the contract concluded with [...] to the Authority, in which [...] tasks are listed in point 9 a)-i). The tasks describe the assessment of the client's needs, information provision, and consultations, without specific detailing, and point f) explicitly states that "During the execution of the task, the Contractor acts independently. The Contractor independently organizes and conducts negotiations with third parties."

II.2.6. Other Circumstances

(39) The Applicants requested that the Authority take into account that the Applicant intended to obtain compensation from the Bank through deception and acted in bad faith. Furthermore, the Authority should also consider that contrary to the Applicant's assertion, the Applicants did not cause any harm to the Applicant, as the loss of the deposit was a consequence of the Applicant's withdrawal.

II.2.7. Attached Viewing Declaration

(40) The viewing declaration was signed by the Applicant on March 19, 2020. The real estate agent ("referent") involved in the viewing was [...].

(41) In the viewing declaration, the Applicant (by checking the box) chose the option that "I take advantage of the free consultation opportunity at [...] ([...]). I consent to the transfer of the necessary data (name, phone number, email address) and request that your colleagues contact me regarding the appointment."

(42) The viewing declaration also contains a data processing information notice regarding the data

managed by Applicant 1, and refers to the fact that "If you requested: [...], the data processing information notice is available at [...]."

II.2.8. "Offer" Provided to the Applicant by Applicant 2

(43) According to the document attached as a copy – dated April 13, 2021, and containing a signature next to the Applicant's name:

(44) "[...] The Client consents to the Intermediary processing their personal data recorded during the application in accordance with the laws, the Intermediary's business regulations, data processing regulations (available at [...]) and in the manner and within the framework authorized by this data sheet. The Client has familiarized themselves with the content of all these documents prior to signing this data sheet. [...]"

II.3. The Data Processing Information Notice of Applicant 2 (which was attached to the declaration and was available on its website at the time of submission)

(45) To the Bank (and generally to financial institutions involved in mediation)

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In connection with the forwarding of data, the data processing information does not contain any details. In the description of the data processing activities carried out by the Applicant 2, the fact of forwarding to the financial institutions involved in the mediation is not mentioned at all, thus neither the scope of the affected data nor the legal basis for the forwarding is addressed.

III. Applicable Legal Provisions

(46) According to Article 2(1) of the General Data Protection Regulation, the regulation shall apply to the processing of personal data that is carried out in whole or in part by automated means, as well as to the non-automated processing of data that forms part of a filing system or is intended to form part of a filing system.

(47) For data processing falling under the General Data Protection Regulation, according to Section 2(2) of the Infotv., the General Data Protection Regulation shall be applied with the supplements specified therein.

(48) According to Article 4(1) of the General Data Protection Regulation, "personal data" means any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, number, location data, online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

(49) According to Article 4(2) of the General Data Protection Regulation, "processing" means any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction;

(50) According to Article 4(7) of the General Data Protection Regulation, "data controller" means the natural or legal person, public authority, agency, or any other body which alone or jointly with others determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union or Member State law, the data controller or the specific criteria for the designation of the data controller may also be provided for by Union or Member State law.

(51) GDPR Article 4(11) "the data subject's consent": the voluntary, specific, informed, and unambiguous indication of the data subject's wishes by which the data subject signifies agreement to the processing of personal data relating to them, by a statement or by a clear affirmative action.

(52) GDPR Article 6(1)(a), (b), (c), (f): The processing of personal data shall be lawful only if and to the extent that at least one of the following applies:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child.

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(53) According to Article 28(3) of the GDPR, the processing of personal data by the data processor must be governed by a contract or another legal act that establishes the subject matter, duration, nature, and purpose of the processing, the types of personal data, the categories of data subjects, as well as the obligations and rights of the data controller, which binds the data processor to the data controller under EU law or national law. The contract or other legal act must specifically stipulate that the data processor:

- a) processes personal data only on the basis of the written instructions of the data controller – including the transfer of personal data to a third country or international organization – unless required to do so by Union or Member State law applicable to the data processor; in such cases, the data processor shall inform the data controller of this legal requirement before the processing, unless the relevant legislation prohibits such notification for important reasons of public interest;
- b) ensures that persons authorized to process personal data are subject to a duty of confidentiality or are under an appropriate statutory obligation of confidentiality;
- c) takes the measures required by Article 32;
- d) respects the conditions regarding the engagement of additional data processors referred to in paragraphs (2) and (4);
- e) assists the data controller, taking into account the nature of the processing, by implementing appropriate technical and organizational measures to the extent possible, in order to fulfill the data controller's obligation to respond to requests related to the exercise of the rights of the data subjects as laid down in Chapter III;
- f) assists the data controller in ensuring compliance with the obligations laid down in Articles 32 to 36, taking into account the nature of the processing and the information available to the data processor;
- g) after the completion of the data processing services, deletes or returns all personal data to the data controller, and deletes existing copies, unless Union or Member State law requires the storage of personal data;
- h) makes available to the data controller all information necessary to demonstrate compliance with the obligations laid down in this Article, and allows and contributes to audits, including inspections, conducted by the data controller or another auditor mandated by the data controller.

In relation to point h) of the first subparagraph, the data processor shall inform the data controller without delay if it believes that any instruction infringes this Regulation or the data protection provisions of Member State or Union law.

(54) According to Article 58(2) of the GDPR, the supervisory authority, exercising its corrective powers:

- b) reprimands the data controller or the data processor if their data processing activities have infringed the provisions of this Regulation;
- d) instructs the data controller or the data processor to bring their data processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time frame, where applicable;
- g) orders the rectification or erasure of personal data or the restriction of processing in accordance with Articles 16, 17, and 18, and orders the notification of those recipients to whom the personal data have been disclosed, in accordance with Article 17(2) and Article 19;

(55) According to Section 2(2) of the Infotv., the processing of personal data falling under the scope of

the General Data Protection Regulation is governed by the General Data Protection Regulation as set out in Chapters III-V and VI/A, as well as in Section 3(3), (4), (6), (11), (12), (13), (16), (17), (21), (23-24), Section 4(5), Sections 5(3)-(5), (7) and (8), Section 13(2), Section 23, Section 25, Sections 25/G(3), (4) and (6), Section 25/H(2), Section 25/M(2), Section 25/N, Section 51/A(1), Sections 52-54, Sections 55(1)-(2), Sections 56-60, Sections 60/A(1)-(3) and (6), Section 61(1)(a) and (c), Sections 61(2) and (3), Section 61(4)(b) and (6)-(10), Sections 62-71, Section 72, and Sections 75(1)-(5).

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must be applied with the supplements defined in Section 75/A and Annex 1.

(56) According to Sections 27 (2) - (3) of the Ákr.:

(57) (2) The authority ensures that the legally protected secret and other data protected by law (hereinafter collectively referred to as: protected data) shall not be made public, shall not come to the knowledge of unauthorized persons, and that the protection of these protected data as defined by law is also ensured in the authority's proceedings.

(58) (3) In the course of its proceedings, the authority shall handle those protected data that are related to the proceedings or whose handling is necessary for the successful conduct of the proceedings - in the manner and scope defined by law.

(59) According to Sections 34 (2) - (3) of the Ákr.:

(60) (2) A document or a part of a document from which a conclusion can be drawn regarding any protected data or personal data, the disclosure of which does not meet the conditions defined by law, shall not be accessible, except if the lack of access to the data - excluding classified data - would prevent the person entitled to access the document from exercising their rights provided by this law.

(61) (3) The authority shall ensure access to the document based on the request - even after the conclusion of the proceedings - or shall reject it in a resolution.

(62) According to Article 77 (1) of the General Data Protection Regulation, every data subject has the right to lodge a complaint with a supervisory authority if the data subject believes that the processing of personal data concerning them infringes the General Data Protection Regulation.

(63) According to Section 38 (2) of the Infotv., the Authority's task is to monitor and promote the enforcement of the right to the protection of personal data, as well as the right to access public interest data and data made public in the interest of the public, and to facilitate the free movement of personal data within the European Union. According to Section 38 (2a), the tasks and powers assigned to the supervisory authority in the General Data Protection Regulation shall be exercised by the Authority concerning entities under the jurisdiction of Hungary as defined in the General Data Protection Regulation and this law.

(64) According to Section 60 (1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure at the request of the data subject.

(65) According to Section 60 (2) of the Infotv., a request for the initiation of a data protection authority procedure may be submitted in the cases defined in Article 77 (1) of the General Data Protection Regulation.

(66) In the absence of any provision to the contrary in the General Data Protection Regulation, the provisions of the Ákr. shall apply to the data protection authority procedure initiated upon request, with the exceptions defined in the Infotv.

IV. The Authority's Decision

IV.1. Data Transfer and Possible Harm

(67) In this procedure, the Authority did not examine the question of possible harm concerning the data processing of the Applicants, as the assessment of this is governed by Sections 38 (2) - (2a) of the

based on its provisions does not fall within the Authority's jurisdiction. The resolution of this issue falls under the jurisdiction of the courts.

IV.2. Personal Data, Data Processing, Data Controllers, Data Processor, and the Subject of the Investigation

(68) According to Article 4(1) of the General Data Protection Regulation, the content of the Letter sent by the Applicant (intention to withdraw) qualifies as the Applicant's personal data, meaning that the Applicant's legal declaration is to be considered personal data. The transfer of personal data is classified as data processing under Article 4(2) of the General Data Protection Regulation.

(69) In the application submitted to the Authority, the Applicant essentially disputed the legality of the data transfer that occurred when Respondent 1 forwarded the Letter to Respondent 2, and then Respondent 2 forwarded it to the Bank. Therefore, based on the Applicant's request, the Authority must examine the legality of this data transfer by the Respondents in the current procedure.

(70) According to Article 4(7) of the GDPR, a data controller is a natural or legal person [...] that determines the purposes and means of the processing of personal data, either alone or jointly with others [...].

(71) The Respondents clearly identified themselves as data controllers regarding the processing (transfer) of the Applicant's personal data in their statement sent to the Authority, and this is also evident from the attached data processing notices and the analysis of their activities. Since no facts were raised during the proceedings that would challenge this, the Authority considered the Respondents as independent data controllers, as they determine the purposes and means of the data processing.

(72) [...] According to the information provided by Respondent 1, it qualifies as a data processor concerning the data processing under examination, and based on the attached data processing agreement, it cannot make substantive decisions. Respondent 2 did not dispute that it was among the tasks of [...] as a data processor to forward the Letter to the Bank. Respondent 2 identified itself as a data controller in relation to the contested data processing and argued in its statement that [...] lawfully forwarded the Letter to the Bank as a data processor.

(73) The Authority emphasizes that the mandate agreement between Respondent 2 and [...] does not establish that Respondent 2 provided detailed instructions to its contractor, as point f) explicitly states that "The Contractor shall act independently in performing the task. The Contractor independently organizes and conducts negotiations with third parties." Therefore, the attached document does not clearly indicate [...]s status as a data processor. However, this part of the mandate agreement contradicts the provision in the attached data processing agreement that it cannot make substantive decisions regarding data processing and can only process personal data in accordance with the data controller's instructions.

(74) The data processing agreement submitted by Respondent 2 does not clearly indicate that it must have forwarded letters containing withdrawal intentions, including the Letter, to the credit intermediary; this is not explicitly stated in the agreement.

(75) Article 28(3) of the GDPR stipulates that the processing of personal data by the data processor must be governed by a contract that specifies the subject matter, duration, nature, and purpose of the processing, the types of personal data, the categories of data subjects, as well as the rights and obligations of the data controller. The European Data Protection Board's Guidelines 07/2020 (hereinafter: Guidelines), which discuss the concepts of data controller and data processor under the GDPR, also detail the fundamental criteria for data processing agreements. According to point 112 of the Guidelines, "The data processing agreement must therefore not merely repeat the provisions of the General Data Protection Regulation; instead, it should contain more specific, concrete information

[...]."

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According to point 118 of the Guidance, "The instructions given by the data controller must be documented. For this purpose, it is advisable that the contract or the annex of another legal act contains a procedure and template for further instructions. Alternatively, instructions may also be provided in writing (e.g., by email) and in any other documented form, provided that a record can be kept of such instructions. In any case, in order to avoid difficulties in proving that the instructions of the data controller were properly documented in writing, the European Data Protection Board recommends that these instructions be included in the same text as the contract or other legal act."

(76) The Authority found that, regarding the data processing under review, the Respondent 2 can be considered a data controller due to the fact that it interpreted its data processing agreement with [...] in this way, thus it did not claim that the data transfer contested by the Applicant contradicted the decision of the data controller, i.e., that the credit intermediary acting as [...] "had overstepped" its data processing tasks. At the same time, the Authority established ex officio that by not properly documenting the instruction related to the forwarding of the Letter in writing, Respondent 2 violated Article 28(3) of the GDPR. Therefore, it instructed Respondent 2 ex officio to align its data processing agreement with its intermediaries with the provisions of the GDPR, so that the data controller's operations are detailed therein.

IV.3. Data Transfer Between Respondent 1 and Respondent 2

(77) [...] forwarded the Letter to [...] who submitted the Applicant's loan application to the Bank on behalf of Respondent 2 based on the Applicant's authorization.

(78) Respondent 1 indicated consent as the legal basis for the data transfer.

(79) In reference to Article 6(1)(a) of the GDPR, a fundamental condition for the processing of personal data is, according to Article 4(11) of the GDPR, that the data subjects have appropriate information regarding the circumstances of data processing before making their decision to give consent, and that they clearly express their consent.

(80) In the viewing statement, the Applicant (by checking the box) chose the option to "take advantage of the free consultation opportunity at [...] ([...]). I consent to the transfer of the necessary data (name, phone number, email address) and request that your colleagues contact me regarding the appointment."

(81) Considering that the Applicant – in the viewing statement – only consented to the transfer of their personal data necessary for the consultation with Respondent 2, namely their name, phone number, and email address, Respondent 1 did not have a legal basis to also send the Letter to Respondent 2, citing the Applicant's consent. The Letter contained the Applicant's intention to withdraw, which is additional information regarding the Applicant compared to the personal data mentioned in the data processing information. Therefore, the data processing information referred to by Respondent 1 explicitly does not mention the transfer of the document containing the intention to withdraw, thus the criterion of having appropriate information as per Article 4(11) of the GDPR does not apply to the Letter, and therefore the reference to Article 6(1)(a) of the GDPR by Respondent 1 is not applicable regarding the transfer to Respondent 2.

(82) Considering that Respondent 1 did not demonstrate any other legal basis besides Article 6(1)(a) of the GDPR in relation to the contested data processing, and since for the reasons stated above, Article 6(1)(a) of the GDPR is not applicable in this case,

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Therefore, the Authority granted the Applicant's request to determine that Respondent 1 unlawfully forwarded the Letter to Respondent 2, as the Authority found that Respondent 1 violated Article 6(1) of the GDPR.

IV.4. Data Transfer Between Respondent 2 and the Bank

(83) Respondent 2 stated that it forwarded the Letter "at the instruction" of the Bank, even after the credit assessment. For the purposes of this investigation, it is not possible to determine whether the transfer occurred after the credit assessment, as the Authority does not have the jurisdiction to examine whether the Letter may have influenced the credit assessment process. Furthermore, it is also irrelevant that the data transfer occurred "at the instruction" of the Bank, since, as Respondent 2 is an independent data controller, it must make decisions during its data processing for which it must also take responsibility.

(84) Respondent 2, similar to Respondent 1 based on the previous point, identified consent as the legal basis for the data transfer. However, the conditions for valid consent as per Article 4(11) of the GDPR are not met in this case, as Respondent 2 did not inform that personal data would be forwarded to the Bank. According to the document attached in the copy, dated April 13, 2021, and containing a signature next to the Applicant's name, "[...] The Client consents to the Intermediary processing their personal data recorded during the application in accordance with the laws, the Intermediary's business rules, data processing policy (available at [...]), and in the manner and within the framework authorized in this data sheet. The Client has familiarized themselves with the contents of all these documents prior to signing this data sheet. [...]"

(85) Respondent 2 also claimed that the bank officer "instructed" Respondent 2 to forward the Letter unchanged to the Bank, considering that the Bank has a legitimate interest in being aware if the Applicant seeks compensation based on false statements. Thus, Respondent 2 only mentioned the legitimate interest of the Bank, but did not refer to any legitimate interest of Respondent 2. The fact that the data transfer might be a duty of Respondent 2 arising from the contract between the Bank and Respondent 2 does not change the fact that Respondent 2 should have had the Applicant's valid consent regarding this matter if it identified Article 6(1)(a) of the GDPR as the legal basis for the data transfer.

(86) In connection with the data transfer to the Bank (and generally to financial institutions involved in Respondent 2's intermediary activities), Respondent 2's data processing information does not contain any information. In the section describing the data processing activities performed by Respondent 2, the information does not mention the fact of forwarding to financial institutions involved in the intermediation at all, thus neither the scope of the data concerned nor the legal basis for the transfer.

(87) For the above reasons, the criteria under Article 4(11) of the GDPR are not met in this case either, thus the Article 6(1)(a) of the GDPR cited by Respondent 2 is not applicable regarding the transfer to the Bank. Given that Respondent 2 did not identify any other legal basis in connection with the contested data processing, the Authority granted the Applicant's request to determine that Respondent 2 unlawfully forwarded the Letter to the Bank, as Respondent 2 violated Article 6(1) of the GDPR.

IV.5. Legal Consequences

(88) The Authority reprimands the Respondents under Article 58(2)(b) of the GDPR for violating Article 6(1) of the GDPR, and additionally reprimands Respondent 2 for violating Article 28(3) of the GDPR. The Authority also...

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Based on point d) of paragraph 13, the Authority has instructed the Respondent 2 to align its data processing operations with the provisions of the GDPR.

(89) The Authority has exceeded the administrative deadline set forth in Section 60/A(1) of the Infotv., therefore the Applicant is entitled to HUF 10,000, that is, ten thousand forints – at their choice – by bank transfer or postal money order in accordance with point b) of paragraph 51 of the Ákr.

V. Other Questions

(90) The Authority's jurisdiction is defined by Section 38(2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(91) Based on Section 112 of the Ákr., and Section 116(1) and Section 114(1), there is a right to legal

remedy against the decision and the order through administrative litigation.

* * *

(92) The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and according to point aa) of paragraph 13(3) of the Kp., the Metropolitan Court is exclusively competent for the litigation. According to point b) of Section 27(1) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39(6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(93) According to Section 29(1) of the Kp. and in consideration of this, Section 604 of the Pp. applies, and according to point b) of Section 9(1) of Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services (hereinafter: E-ügyintézési tv.), the client's legal representative is obliged to maintain electronic communication.

(94) The place and time for the submission of the statement of claim is determined by Section 39(1) of the Kp.

(95) The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The Itv. 59(1) and 62(1)(h) exempt the initiating party from the prior payment of the fee.

(96) If Respondent 2 does not properly prove the fulfillment of the prescribed obligation, the Authority will consider that the obligation has not been fulfilled within the deadline. According to Section 132 of the Ákr., if the obligated party does not comply with the obligation stated in the Authority's final decision, it is enforceable. The Authority's decision becomes final upon communication according to Section 82(1) of the Ákr. According to Section 133 of the Ákr., the enforcement is ordered by the authority that made the decision, unless otherwise provided by law or government decree. According to Section 134 of the Ákr., the enforcement is carried out by the state tax authority unless otherwise provided by law, government decree, or a local government regulation in matters of local government authority.

Issued in: Budapest, according to the electronic signature

In the absence of Dr. Péterfalvi Attila, President:

Dr. Szabó Endre Győző

Vice President